

Scope Triage — Gold Example

Hand out after the debrief · model answers + the trap each case tests

The one idea to leave with: formal scope and required governance are **different questions**. SR 26-2 can put a system out of its tiered MRM scope while BSA/AML rules, consumer-protection law, safety-and-soundness, and the bank's own AI governance still reach it. **“Out of scope” is a statement about one document — not about risk.**

1. Atlas PD Anchor case

IN SCOPE

A quantitative model producing estimates used in credit and capital decisions at a >\$30B bank — squarely inside SR 26-2's tiered scope, almost certainly a high tier.

What it tests: The baseline. Anchors the SR 11-7 “model” definition before the edges get hard.

Governance still applies? Full model risk management: independent validation, ongoing monitoring, documentation, effective challenge.

2. ClearList Pod 01

OUT OF FORMAL SCOPE

GenAI is carved out of SR 26-2 by footnote 3, so it sits outside the MRM guidance's formal scope — which is not the same as sitting outside supervision.

What it tests: The core trap: equating “out of SR 26-2 scope” with “no governance.” AML decisioning is heavily regulated no matter what label you attach to the tool.

Governance still applies? Yes — BSA/AML program requirements still bind; safety-and-soundness still reaches; the bank's own AI governance should apply model-like controls.

3. MemoWriter Pod 02

OUT OF FORMAL SCOPE

It's GenAI (carved out) and arguably not a “model” at all — it drafts prose, it doesn't compute the estimate — yet it shapes a credit decision, so the risk doesn't disappear with the scope label.

What it tests: Two independent reasons it's “out,” plus the assumption that a human in the loop neutralizes the influence (it doesn't — anchoring and automation bias).

Governance still applies? Yes — a biased or fluent-but-wrong draft can steer the underwriter; controls are warranted even though it's formally out of scope.

4. Cardinal Anchor case

IT DEPENDS

Same model, different answer by entity: a standalone \$8B bank sits below SR 26-2's ~\$30B primary scope, but consolidation into \$210B Meridian pulls it in — and model risk applies proportionally either way.

What it tests: That scope is a property of the institution, not just the model — and that M&A changes the answer overnight.

Governance still applies? Yes — proportional model risk management regardless of threshold; the integration plan has to address it explicitly.

5. Second Line Pod 05

OUT OF FORMAL SCOPE

The copilot is GenAI (carved out), but it's now part of the control environment for in-scope models — so excluding it from governance quietly undermines the governance of everything it touches.

What it tests: The recursive, second-order problem: who validates the validator? The tool that supports MRM is itself outside MRM.

Governance still applies? Yes — arguably the most important to govern despite being formally out of scope, because it sits inside the effective-challenge chain.

PATTERN ACROSS THE FIVE

One case is cleanly in (Atlas). Three are “out” of SR 26-2 for different reasons — GenAI carve-out (ClearList), GenAI *and* not-a-model (MemoWriter), GenAI-as-a-control (Second Line) — yet every one still needs governance. One flips on a fact that has nothing to do with the model at all (Cardinal's asset size, then the acquisition). The scope label never settled the risk question for you.

Illustrative for the exercise only. Scope determinations are bank- and fact-specific and rest on the institution's own policies and examiner dialogue. Nothing here is legal or regulatory advice.